SAMPLE DOCUMENT

Riverside Landscaping LLC
Cash Flow Projection

12-Month Projection: January 2026 through December 2026

ASC 230 Indirect Method | Prepared using AI-assisted transaction classification | Owner-reviewed

	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Full Year
Operating Activities					
Net Income	$16,200	$22,800	$24,600	$14,400	$78,000
Adjustments:					
Depreciation	$2,100	$2,100	$2,100	$2,100	$8,400
Change in A/R	($2,400)	($1,800)	($600)	$3,200	($1,600)
Change in Inventory	($1,200)	($800)	$400	$1,000	($600)
Change in A/P	$1,600	$800	$400	($1,200)	$1,600
Cash from Operations	**$16,300**	**$23,100**	**$26,900**	**$19,500**	**$85,800**
Investing Activities					
Equipment Purchase	($8,000)	$0	$0	$0	($8,000)
Vehicle Down Payment	$0	($12,000)	$0	$0	($12,000)
Cash from Investing	**($8,000)**	**($12,000)**	**$0**	**$0**	**($20,000)**
Financing Activities					
SBA Loan Payments (principal)	($3,000)	($3,000)	($3,000)	($3,000)	($12,000)
New Vehicle Loan Proceeds	$0	$28,000	$0	$0	$28,000
Vehicle Loan Payments	$0	($1,200)	($1,800)	($1,800)	($4,800)
Owner Distributions	($6,000)	($6,000)	($6,000)	($6,000)	($24,000)
Cash from Financing	**($9,000)**	**$17,800**	**($10,800)**	**($10,800)**	**($12,800)**
Net Change in Cash	**($700)**	**$28,900**	**$16,100**	**$8,700**	**$53,000**
Beginning Cash Balance	$84,620	$83,920	$112,820	$128,920	$84,620
Ending Cash Balance	**$83,920**	**$112,820**	**$128,920**	**$137,620**	**$137,620**

Scenario Analysis — Ending Cash Balance (Dec 2026)

Scenario	Revenue Assumption	Ending Cash	Key Driver
Best Case	+15% revenue growth	$158,400	Strong seasonal demand + new contracts
Base Case	+5% revenue growth	$137,620	Steady growth, current client base
Worst Case	Flat revenue	$108,200	Delayed projects, weather disruption

Key Assumptions

Revenue Growth: Base case assumes 5% annual growth driven by expanded maintenance contracts and a new hardscaping crew added in Q2. Seasonal weighting: Q1 (18%), Q2 (30%), Q3 (32%), Q4 (20%).

Operating Expenses: COGS assumed at 38% of revenue (consistent with 2025). Fixed expenses increase 3% for inflation. One additional crew member hired in Q2 at $3,200/month.

Capital Expenditures: $8,000 commercial mower in Q1. $40,000 crew vehicle in Q2 ($12,000 down, $28,000 financed at 6.5% over 5 years).

Working Capital: A/R days outstanding: 25 days. A/P days outstanding: 15 days. Seasonal inventory build in Q1-Q2, drawdown in Q3-Q4.

Debt Service: Existing SBA loan at $1,320/month (P+I). New vehicle loan at $600/month starting June 2026.

Owner Distributions: $2,000/month ($24,000 annual). May increase if base case cash targets are exceeded.

Minimum Cash Buffer: Owner targets $50,000 minimum cash balance at all times.

Methodology & Disclosure Notes

1. Presentation Method: This projection follows ASC 230 (Statement of Cash Flows) using the indirect method. Net income is adjusted for non-cash items and working capital changes to arrive at cash from operations.

2. Projection Basis: Revenue and expense assumptions are derived from 2025 actual results, owner-provided growth expectations, and known contractual commitments.

3. Limitations: Projections are forward-looking estimates and are inherently uncertain. Actual results may differ materially from projected figures due to market conditions, weather, client retention, and other factors.